UNIT 2 – Dividends

Main Questions

Question 1 (C2) (6M) (Dec 2022 Old PQ)

XYZ Ltd. having inadequate profits, proposes to declare 10% equity dividend out of its current profits and its free reserves.

Following are the data drawn from the latest audited financial statements as at 31st March,2019:

17,500 Preference Shares of ₹ 100 each fully paid: (Dividend @ 9%)

7,00,000 Equity Shares of ₹ 10 each

General Reserves:	₹ 21,00,000
Capital Reserves:	₹ 3,50,000
Securities Premium:	₹ 3,50,000
Surplus (P&L):	₹ 63,000 (Excluding current year's profit given below)
Net Profit for the year:	₹ 3,57,000

Average Rate of Return for the last three years: 15%

Average Rate of Dividend during the three years: 15%

The company has declared dividends in each of the 3 preceding financial years.

In the light of the information given above, analysing and applying the provisions of the Companies Act, 2013 and the applicable Rules made thereunder, calculate the minimum amount that is required to be withdrawn from free reserve by XYZ Ltd. for declaring 10% dividend to the equity shareholders.

Answer

Suggested Answer

The minimum amount that the Company is required to withdraw from free reserves is Rs 4,37,500.

My Interpretation

According to Section 123 of the Companies Act, 2013, a company may declare a dividend even when it has inadequate profits, but it must comply with the conditions prescribed under Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.

Condition 1 – The rate of dividend declared shall not exceed the average of the rates at which dividend was declared by it in the three years immediately preceding that year.

Condition 2 – The total amount to be drawn from such accumulated profits shall not exceed 10% of the sum of its paid-up share capital and free reserves as per the latest audited financial statement.

Condition 3 – The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared before any dividend in respect of equity shares is declared.

Condition 4 – The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital as per the latest audited financial statement.

Based on the above provisions and facts of the given case,
The Total Dividend Requirement is calculated below:

- Preference Dividend (9% on 17,500 shares of ₹100 each) = (17,500 × ₹ 100) x 9% = ₹ 1,57,500
- Equity Dividend (10% on 7,00,000 shares of ₹10 each) = 10% (7,00,000 × 10) = ₹ 7,00,000
- Total Dividend Payable = 1,57,500 + 7,00,000 = ₹ 8,57,500

Profit Availability:

- Net Profits for the year = ₹ 3,57,000
- Surplus in P&L (excluding current year profit): ₹ 63,000
- Total available profit = 3,57,000 + 63,000 = ₹ 4,20,000

Short fall in Profits = 8,57,500 - 4,20,000 = ₹ 4,37,500

Thus, the company needs to withdraw ₹ 4,37,500 from free reserves.

Condition 1 - The rate of dividend should not exceed the average of the last three years' rate of dividend, i.e., 15%.

Since the proposed 10% equity dividend is within this limit, the condition 1 is satisfied

Condition 2 - The amount withdrawn from free reserves shall not exceed 10% of the sum of paid-up share capital and free reserves.

- Paid-up share capital = ₹ 87,50,000
- Free reserves before withdrawal = ₹ 21,00,000
- Total (Paid-up share capital + Free reserves) = ₹ 1,08,50,000
- 10% of this amount = ₹ 10,85,000
- The shortfall in profit is ₹ 4,37,500, which is within this limit.
- Condition 2 is satisfied.

Condition 3 – Since there are no losses incurred in the financial year, there is no requirement of set off. Condition 3 is satisfied

Condition 4 - The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital.

- Total Free reserves = ₹ 21,00,000
- Balance in reserves after withdrawal = 21,00,000 - 4,37,500 = ₹ 16,62,500
- 15% of Paid up share capital = ₹ 87,50,000 x 15% = ₹ 13,12,500

The balance in the reserves has not fallen below the prescribed limit, condition 4 is satisfied.

Since all conditions are satisfied, XYZ Ltd. can withdraw ₹ 4,37,500 from free reserves and declare the proposed 10% dividend.

Question 2 (C2) (ICAI SM)

Alex limited is facing loss in business during the financial year 2023-2024. In the immediately preceding three financial years, the company had declared dividend at the rate of 7%, 11% and 12% respectively. The Board of Directors has decided to declare 12% interim dividend for the current financial year at least to be in par with the immediately preceding year. Is the act of the Board of Directors valid?

Answer

According to Section 123(3) of the Companies Act, 2013, Interim dividend may be declared by the Board of Directors at any time during the period from closure of financial year till holding of the annual general meeting. Out of the

a) Surplus in the profit and loss account or
b) Profits of the financial year in which such dividend is sought to be declared or
c) Profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.

If the company has incurred loss during the current financial year up to the end of the quarter immediately preceding the date of declaration of interim dividend, "such interim dividend shall not be declared at a rate higher than the average rate of dividend declared by the company during the immediately preceding three financial years".

According to the given facts, Alex Ltd. is facing loss in business during the financial year 2023-2024. In the immediately preceding 3 financial years, the company declared dividend at the rate of 7%, 11% and 12% respectively. Accordingly, the rate of dividend declared shall not exceed 10%, the average of the rates (7 + 11 + 12 = 30/3 = 10) at which dividend was declared by it during the immediately preceding 3 financial years.

Therefore, the act of the Board of Directors as to declaration of interim dividend at the rate of 12% during the F.Y 2023-2024 is not valid.

Question 3 (C2) (4M) (Dec 2018 Old PQ)

BET Ltd. incurred loss in business up to current quarter of financial year 2017-18. The company has declared dividend at the rate of 11%, 16% and 18% respectively in the immediate preceding three years. In spite of the loss, the Board of Directors of the company have decided to declare interim dividend @ 15% for the current financial year. Examine the decision of BET Ltd. stating the provisions of declaration of interim dividend under the Companies Act, 2013.

Answer

According to Section 123(3) of the Companies Act, 2013, Interim dividend may be declared by the Board of Directors at any time during the period from closure of financial year till holding of the annual general meeting. Out of the

d) Surplus in the profit and loss account or

e) Profits of the financial year in which such dividend is sought to be declared or
f) Profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.

If the company has incurred loss during the current financial year up to the end of the quarter immediately preceding the date of declaration of interim dividend, "such interim dividend shall not be declared at a rate higher than the average rate of dividend declared by the company during the immediately preceding three financial years".

In the instant case, since the company has incurred loss up to current quarter of financial year, interim dividend by BET Ltd. shall not be declared at a rate higher than the average dividends declared by the company during the immediately preceding three financial years [i.e. (11+16+18)/3 = 45/3 = 15%]. Therefore, decision of Board of Directors to declare 15% of the interim dividend for the current financial year is tenable.

Question 4 (C2) (ICAI SM)

YZ Medical Instruments Limited is a manufacturing company & has proposed a dividend @ 10% for the year 2023-2024 out of the profits of current year. The company has earned a profit of ₹ 910 crore during 2023-2024. The company does not intend to transfer any amount to the general reserves out of the profits. Is YZ Medical Instruments Limited allowed to do so? Comment.

Answer

According to Section 123 of the Companies Act, 2013 a company may, before the declaration of any dividend in any financial year, transfer such percentage of its profits for that financial year as it may consider appropriate to the reserves of the company. Such transfer is not mandatory and the percentage to be transferred to reserves is at the discretion of the company.

As per the given facts, YZ Medical Instruments Limited has earned a profit of ₹ 910 crore for the financial year 2023-2024. It has proposed a dividend @ 10%. However, it does not intend to transfer any amount to the reserves of the company out of the profits of current year.

As per the provisions stated above, the amount to be transferred to reserves out of profits for any financial year is at the discretion of the company acting through its Board of Directors. Therefore, at its discretion, if YZ Medical Instruments Limited decides not to transfer any profit to reserves before the declaration of dividend at 10%, it is legally allowed to do so.

Question 5 (C2) (ICAI SM)

Alpha Herbals, a Section 8 company is planning to declare dividend in the Annual General Meeting for the Financial Year ended 31-03-2024. Mr. Chopra is holding 800 equity shares as on date. State whether the act of the company is according to the provisions of the Companies Act, 2013.

Answer

According to Section 8(1) of the Companies Act, 2013, the companies licenced under Section 8 of the Act are prohibited from paying any dividend to their members. Their profits are intended to be applied only in promoting the objects for which they are formed.

Hence, in the instant case, the proposed act of Alpha Herbals, a company licenced under Section 8 of the Act, which is planning to declare dividend, is not according to the provisions of the Companies Act, 2013.

Question 6 (C2) (3M) (Dec 2023 Old) (4M) (June 2017 Old PQ) (ICAI SM)

The Board of Directors of Big Ltd. proposes to transfer more than 10% of the profits of the Company to the Reserves for the current year. Advise the Board of Directors of the said Company mentioning the relevant provisions of the Companies Act, 2013.

Answer

As per the provisions of Section 123 of the Companies Act, 2013, a company may, before the declaration of any dividend in any financial year, transfer such percentage of its profits for that financial year as it may consider appropriate to the reserves of the company. Such transfer is not mandatory and the percentage to be transferred to reserves is at the discretion of the company (its Board of Directors).

Based on the above provisions and facts of the given case, the company is free to transfer any part of its profits to reserves as it deems fit.

Question 7 (C2) (4M) (Dec 2017 Old PQ) (ICAI SM)

Referring to the provisions of the Companies Act, 2013, examine the validity of the following:

The Board of Directors of ABC Tractors Limited proposes to declare dividend at the rate of 20% to the equity shareholders, despite the fact that the company has defaulted in repayment of public deposits accepted before the commencement of this Act.

Answer

Section 123(6) of the Companies Act, 2013, provides that a company which fails to comply with the provisions of section 73 (Prohibition of acceptance of deposits from public) and section 74 (Repayment of deposits, etc., accepted before the commencement of this Act) shall not, so long as such failure continues, declare any dividend on its equity shares.

In the given instance, the Board of Directors of ABC Tractors Limited proposes to declare dividend at the rate of 20% to the equity shareholders, although the company has defaulted in repayment of public deposits accepted before the commencement of the Companies Act, 2013. Hence, according to the above provision, declaration of dividend by the ABC Tractors Limited is not valid.

Question 8 (C3 & C5) (6M) (Dec 2019 Old PQ) (ICAI SM)

The Board of Directors of Future Fashions Limited at its meeting recommended a dividend on its paid-up equity share capital which was later on approved by the shareholders at the Annual General Meeting. Thereafter, the directors at another meeting of the Board passed a board resolution for diverting the total dividend to be paid to the shareholders for purchase of certain short-term investments in the name of the company. As a result, dividend was paid to shareholders after 45 days. Examining the provisions of the Companies Act, 2013, state:

(i) whether the act of directors is in violation of the provisions of the Act and if so, state the consequences that shall follow for the above violative act.

(ii) What would be your answer in case the amount of dividend to a shareholder is adjusted by the company against certain dues to the company from the shareholder?

Answer

According to section 124 of the Companies Act, 2013,

a) where a dividend has been declared by a company but has not been paid or claimed within 30 days from the date of the declaration,

b) the company shall, within 7 days from the date of expiry of the said period of 30 days, transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened by the company in any scheduled bank to be called the Unpaid Dividend Account.

According to section 127 of the Companies Act, 2013,

a) where a dividend has been declared by a company but has not been paid or the warrant in respect thereof has not been posted within 30 days from the date of declaration

b) Every director of the company shall, if he is knowingly a party to the default, be punishable with maximum imprisonment of 2 years and shall also be liable for a minimum fine of ₹ 1000 for every day during which such default continues.

c) The company shall be liable to pay simple interest at the rate of 18% per annum during the period for which such default continues.

(i) Since, declared dividend has not been paid within 30 days from the date of the declaration, the company shall, within 7 days from the date of expiry of the said period of 30 days, transfer the total amount of dividend to a special account called the Unpaid Dividend Account.

The Board of Directors of Future Fashions Limited has violated section 127 as it failed to pay dividend to shareholders within 30 days due to its decision to divert the total dividend for purchase of certain short-term investments in the name of the company.

Consequences: The following are the consequences for violation of the above provisions:

a) every director of the company shall, if he is knowingly a party to the default, be liable for punishment state above in the provision.

b) The company shall also be liable to pay simple interest at the rate of 18% p.a. during the period for which such default continues.

(ii) If the amount of dividend to a shareholder is adjusted by the company against certain dues to the company from the' shareholder, then failure to pay dividend within 30 days shall not be deemed to be an offence under Section 127.

Question 9 (C5) (ICAI SM)

The Annual General Meeting of ABC Bakers Limited held on 30th May, 2024, declared a dividend at the rate of 30% payable on its paid-up equity share capital as recommended by Board of Directors. However, the company was unable to post the dividend warrant to Mr. Ranjan, an equity shareholder, up to 25th July, 2024. Mr. Ranjan filed a suit against the company for the payment of dividend along with interest at the rate of 20 percent per annum for the period of default.

Decide in the light of provisions of the Companies Act, 2013, whether Mr. Ranjan would succeed? Also, state the director's liability in this regard under the Act

Answer

According to section 127 of the Companies Act, 2013,

a) where a dividend has been declared by a company but has not been paid or the warrant in respect thereof has not been posted within 30 days from the date of declaration

b) Every director of the company shall, if he is knowingly a party to the default, be punishable with maximum imprisonment of 2 years and shall also be liable for a minimum fine of ₹ 1000 for every day during which such default continues.

c) The company shall also be liable to pay simple interest at the rate of 18% p.a. during the period for which such default continues.

Therefore, in the given case Mr. Ranjan will not succeed if he claims interest at 20% interest as the limit under section 127 is 18% per annum. The directors of the company shall be liable as stated above in the provision.

Question 10 (C5) (3M) (June 2023 PQ) (ICAI SM)

Star Computers Limited declared and paid dividend in time to all its equity holders for the financial year 2023-24, except in the following two cases:

(i) Mrs. Sheela Bhatt, holding 250 shares had mandated the company to directly deposit the dividend amount in her bank account. The company, accordingly, remitted the dividend but the bank returned the payment on the ground that there was difference in surname of the payee in the bank records. The company, however, did not inform Mrs. Sheela Bhatt about this discrepancy.

(ii) Dividend amount of ₹ 50,000 was not paid to the successor of Late Mr. Mohan, in view of the court order restraining the payment due to family dispute about succession.

You are required to analyse these cases with reference to provisions of the Companies Act, 2013 regarding failure to distribute dividends.

Answer

(i) Section 127 of the Companies Act, 2013 provides for punishment for failure to distribute dividend on time. One of such situations is where a shareholder has given directions to the company regarding the payment of the dividend and those directions could not be complied with but the non-compliance was not communicated to him.

In the given situation, the company has failed to communicate to the shareholder Mrs. Sheela Bhatt about non-compliance of her direction regarding payment of dividend.

Hence, the penal provisions under section 127 will be applicable.

(ii) Section 127 provides that no offence shall be deemed to have been committed where the dividend could not be paid by reason of operation of law. In the present case, the dividend could not be paid because it was not allowed to be paid by the court until the matter was resolved about succession.

Hence, there will not be any liability on the company and its directors, etc.

Question 11 (C5) (ICAI SM)

PQ Ltd. declared and paid 10% dividend to all its shareholders except Mr. Kumar, holding 500 equity shares, who instructed the company to deposit the dividend amount directly in his bank account. The company accordingly remitted the dividend, but the bank returned the payment on the ground that the account number as given by Mr. Kumar doesn't tally with the records of the bank. The company, however, did not inform Mr. Kumar about this discrepancy. Comment on this issue with reference to the provisions of the Companies Act, 2013 regarding failure to distribute dividend.

Answer

Section 127 of the Companies Act, 2013 provides for punishment for failure to distribute dividend on time. One of such situations is where a shareholder has given directions to the company regarding the payment of the dividend and those directions could not be complied with, but the non-compliance was not communicated to him.

In the instant case, PQ Ltd. has failed to communicate to the shareholder Mr. Kumar about non-compliance of his direction regarding payment of dividend. Hence, the penal provisions under section 127 will be attracted.

Additional Questions

Question 1 (C2) (SM)

Dividend must be paid only out of profits. Explain.

Answer

According to Section 123 of the Companies Act, 2013, Where in any year there are no adequate profits for declaring dividend, the company may declare dividend out of the accumulated profits earned by it in previous years and transferred by it to the free reserves only in accordance with the conditions given below, but it must comply with the conditions prescribed under Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.

Condition 1 – The rate of dividend declared shall not exceed the average of the rates at which dividend was declared by it in the three years immediately preceding that year.

Condition 2 – The total amount to be drawn from such accumulated profits shall not exceed 10% of the sum of its paid-up share capital and free reserves as per the latest audited financial statement.

Condition 3 – The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared before any dividend in respect of equity shares is declared.

Condition 4 – The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital as per the latest audited financial statement.

All the above conditions must be satisfied to declare dividend in case of inadequacy or absence of profits.

Question 2 (C3) (SM)

Explain the law relating to treatment of unpaid dividend.

Answer

According to section 124 of the Companies Act, 2013,

a) where a dividend has been declared by a company but has not been paid or claimed within 30 days from the date of the declaration,
b) the company shall, within 7 days from the date of expiry of the said period of 30 days, transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened by the company in any scheduled bank to be called the Unpaid Dividend Account.
c) Within 90 days of transferring any amount to the Unpaid Dividend Account, the company shall prepare a statement containing the names, last known addresses and the amount of unpaid dividend to be paid to each person and place such statement on its website, if any, and also on any other website approved by the Central Government for this purpose.
d) If the company fails to transfer the unpaid or unclaimed dividend to the Unpaid Dividend Account within the prescribed time, it will be required to pay interest at the rate 12% per annum on the amount not transferred, starting from the date of default.

Question 3 (C4) (7M) (MQP Dec 2024 Set 1)

Describe the procedure which has to be followed by the company while transferring unpaid or unclaimed dividend from unpaid dividend account to IEPF.

Answer

The following procedure should be followed by the company while transferring unpaid or unclaimed dividend from unpaid dividend account to IEPF:

a) Section 124(5) of the Act provides that any money transferred to the unpaid dividend account of a company which remains unpaid or unclaimed for a period of 7 years from the date of such transfer is required to be transferred by the company along with interest accrued, if any, thereon to the Investor Education and Protection Fund (IEPF) established under Section 125 within a period of 90 days after expiry of 7 years.
b) The company shall send a statement of amount credited to Investor Education and Protection Fund in "Form DIV 5" to the authority which administer the fund.
c) The company shall keep a record consisting of names, last known addresses, the amount to which each person is entitled, folio number, etc. of the persons in respect of whom amount has been remain unpaid or unclaimed for 7 years and transferred to IEPF. Such record shall be maintained for a period of 8 years from the date of such transfer to IEPF and authority administering the fund shall have the powers to inspect such records.

UNIT 3 – Accounts of Companies

Main Questions

Question 1 (C2) (ICAI SM)

The registered office of the Bharat Ltd. is situated in a classified backward area of Maharashtra. The Board wants to keep its books of account at its corporate office in Mumbai which is conveniently located. The Board seeks your advice about the feasibility of maintaining the accounting records at a place other than the registered office of the company. Advice.

Answer

According to Section 128(1) of the Companies Act, 2013, every company shall prepare "books of account" and other relevant books and papers and financial statement for every financial year. These books of account should give a true and fair view of the state of the affairs of the company, including that of its branch office. These books of account must be kept on accrual basis and according to the double entry system of accounting.

The proviso to section 128(1) further provides that all or any of the books of account aforesaid and other relevant papers may be kept at such other place in India as the Board of Directors may decide and where such a decision is taken, the company shall, within 7 days thereof, file with the Registrar a notice in writing giving the full address of that other place. Further company may keep such books of account or other relevant papers in electronic mode.

Therefore, the Board of Bharat Ltd. can keep its books of account at its corporate office in Mumbai by following the above-mentioned procedure.

Question 2 (C2) (ICAI SM)

(i) Ravi Limited maintained its books of account under Single Entry System of Accounting. Is it permitted under the provisions of the Companies Act, 2013?

(ii) State the persons responsible for complying with the provisions regarding maintenance of Books of Account of a company.

(iii) Whether a company can keep books of Account in electronic mode accessible only outside India?

Answer

(i) According to Section 128(1) of the Companies Act, 2013, every company shall prepare "books of account" and other relevant books and papers and financial statement for every financial year. These books of account should give a true and fair view of the state of the affairs of the company, including that of its branch office. These books of account must be kept on accrual basis and according to the double entry system of accounting. Hence, maintenance of books of account under Single Entry System of Accounting by Ravi Limited is not permitted.

(ii) As per Section 128 (6) of the Companies Act, 2013, the person responsible to take all reasonable steps to secure compliance by the company with the requirement of maintenance of books of account etc. shall be:

a) Managing Director,
b) Whole-Time Director, in charge of finance
c) Chief Financial Officer
d) Any other person of a company charged by the Board with duty of complying with provisions of section 128.

(iii) A Company has the option of keeping such books of account or other relevant papers in electronic mode. The books of account and other relevant books and papers maintained in electronic mode shall:

1) remain accessible in India so as to be usable for subsequent reference.
2) be retained in original format, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
3) The information received from branch offices shall not be altered and shall be kept in a manner where it shall depict what was originally received from the branches.
4) The information in the electronic record of the document shall be capable of being displayed in a legible form.
5) There shall be a proper system for storage, retrieval, display or printout of the electronic records.
6) The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a daily basis.

Hence, a company cannot keep books of account in electronic mode accessible only outside India.

Question 3 (C2) (7M) (Dec 2024 PQ)

Examine the provisions of the Companies Act, 2013 relating to maintenance of the books of account in electronic form under section 128.

Answer

Section 128 of the Companies Act 2013 and Rule 3 of the companies (Accounts) Rules 2014, every company must maintain proper books of Accounts. Rule 3 of the Companies (Accounts) Rules, 2014 provides that the company may keep its books of account or other relevant papers in electronic mode.

The books of account and other relevant books and papers maintained in electronic mode shall:

1) remain accessible in India so as to be usable for subsequent reference.
2) be retained in original format, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
3) The information received from branch offices shall not be altered and shall be kept in a manner where it shall depict what was originally received from the branches.
4) The information in the electronic record of the document shall be capable of being displayed in a legible form.

5) There shall be a proper system for storage, retrieval, display or printout of the electronic records.
6) The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a daily basis.

The company shall intimate to the Registrar on an annual basis at the time of filing of financial statement:

a) the name of the service provider.
b) the internet protocol address of service provider.
c) the location of the service provider.
d) where the books of account and other books and papers are maintained on cloud, such address as provided by the service provider.
e) where the service provider is located outside India, the name and address of the person in control of the books of account and other books and papers in India.

Question 4 (C5) (ICAI SM)

The Board of Directors of Vishwakarma Electronics Limited consists of Mr. Ghanshyam (Director), Mr. Hyder (Director) and Mr. Indersen (Managing Director). The company has also employed a Company Secretary. The financial statements of the company were signed by Mr. Ghanshyam and Mr. Hyder. Examine whether the authentication of financial statements of the company was in accordance with the provisions of the Companies Act, 2013?

Answer

According to section 134(1) of the Companies Act, 2013, the financial statements, including consolidated financial statement, if any, shall be approved by the Board of Directors before they are signed on behalf of the Board by

a) the chairperson of the company where he is authorised by the Board or
b) by two directors out of which one shall be managing director, if any, and
c) the Chief Executive Officer,
d) the Chief Financial Officer and
e) the company secretary of the company, wherever they are appointed,
f) or in the case of One Person Company, only by one director, for submission to the auditor for his report thereon.

In the instant case, the Balance Sheet and Profit and Loss Account have been signed only by Mr. Ghanshyam and Mr. Hyder, the directors. In view of Section 134(1) of the Companies Act, 2013, Mr. Indersen, the Managing Director should be one of the two signing directors. Since, the company has also employed a Company Secretary, he should also sign the financial statements. Therefore, the authentication is incomplete and not compliant with Section 134(1).

Question 5 (C5) (3M) (Dec 2021 Old PQ)

Write short note on Boards report in case of OPC. [Section 134(4)]

Answer

According to this Section 134(4) of the Companies Act, 2013, In case of a one-person company, the report of the Board of Directors to be attached to the financial statement under this section shall mean a report containing explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made by the auditor in his report.

Question 6 (C5) (4M) (June 2019 Old PQ)

Explain the particulars required to be contained in Directors Responsibility Statement as per provision of the Companies Act, 2013.

Answer

According to this Section 134(5) of the Companies Act, 2013, the Directors' Responsibility Statement shall state that:

a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation.
b) the directors had selected such accounting policies and applied them consistently and made estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company.
c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records for safeguarding the assets of the company and detecting fraud.
d) the directors had prepared the annual accounts on a going concern basis and in the case of a listed company, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
e) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Question 7 (C6) (7M) (June 2024 PQ)

RRR Ltd, is a public limited company, having its registered office is Bengaluru, and as been in existence since March, 2010. The following is the summarized position of its financial results for the past four years (₹ in Cr):

Particulars	2019-20	2020-21	2021-22	2022-23
Net worth	303	319	368	503
Turnover	500	490	680	890
Net profit	6.1	6.9	7.9	8.9

In the light of above facts, examine the following issues:

i) Does the company come within the purview of CSR regulations?
ii) Is CSR Committee required to be formed?
iii) What will be the minimum budget for CSR compliance, for the year 2023-24?
iv) What are the other CSR obligations under the provisions of the companies Act, 2013?

Answer

(i) Section 135 of the Companies Act, 2013 provides for the applicability of the CSR provision on corporates. Sub section (1) lays down that every company having

a) Net worth of Rs 500 crores or more; or
b) Turnover of Rs 1000 crores or more; or
c) Net Profit of Rs 5 crores

during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee.

For the year 2022-2023, the company's net profit is ₹ 8.9 crore, which exceeds the ₹ 5 crore threshold. Therefore, RRR Ltd. comes under CSR obligation.

(ii) Yes, where a company comes under the purview of section 135 of the Act, CSR Committee is required to be formed.

(iii) According to Section 135(5) of the Companies Act, 2013, the Board of every company to which Section 135 is applicable, shall ensure that the company spends, in every financial year at least 2% of average net profits of the company made during the 3 immediately preceding financial years, in pursuance of its CSR policy.

Minimum expenditure for CSR for 2023-24 is:

- average profits for the last 3 years = 6.9 + 7.9 + 8.9 = 23.7/3 = ₹ 7.9 crores
- Minimum expenditure for CSR for 2023-24= 2% of 7.9 = ₹ 15.8 lakhs

(iv) Other CSR obligations

- The amount has to be spent before the end of the financial year.
- The details of the CSR obligations to be furnished in the Report of the Board of Directors.
- Form CSR 1 has to be filed.

Question 8 (C6) **(8M) (June 2023 PQ)**

M/S ABC Ltd. Manufactures of Tyres of all types of vehicles, is a Public Limited Company manufacturing units, one at Durgapur, West Bengal, Palej, Gujarat and Munnar in Kerala with Corporate office at Kolkata. The company is professionally managed, the promoter being the chairman, only comes in Board meeting and does not interfere in day to day management. The other directors are independent. The company has sales offices and dealers in India.

The financial performance of the company is as follows:

Parameters	2017 - 2018	2018 - 2019	2019 - 2020	2020 – 2021
Turnover	700	650	920	1010
Net worth	402	423	480	530
Net Profit	14.5	15.7	16.8	18

Queries:

(i) Do the company comes under CSR obligation?

(ii) Is CSR committee required?

(iii) What are the other obligations for CSR under the Act?

(iv) What will happen if the stipulated/amount is not spent within the year?

(v) What will happen if a project is taken up but full allocated amount is not spent ?

Answer

(ii) Section 135 of the Companies Act, 2013 provides for the applicability of the CSR provision on corporates. Sub section (1) lays down that every company having

d) Net worth of Rs 500 crores or more; or
e) Turnover of Rs 1000 crores or more; or
f) Net Profit of Rs 5 crores

during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee.

For the year 2020-2021, the company's turnover is ₹1010 crore, which exceeds the ₹1000 crore threshold. Therefore, ABC Tyres Ltd. comes under CSR obligation.

(ii) Yes, the CSR Committee is required to be formed as it comes under the purview of Section 135 of the Act.

(iii) According to Section 135(5) of the Companies Act, 2013, the Board of every company to which Section 135 is applicable, shall ensure that the company spends, in every financial year at least 2% of average net profits of the company made during the 3 immediately preceding financial years, in pursuance of its CSR policy.

Other obligations are spending the amount prescribed above within the financial year. The details have to be disclosed in the Board's Report as annexure. Form CSR 1 needs to be filed.

(iv) The unspent amount will have to be transferred to a special account.

(v) If a project is taken up and the full amount is not spent, the amount shall be kept separately for financing which will be called an "ongoing project".

Question 9 (C6) (7M) (Dec 2023 PQ) (8M) (June 2017 Old PQ)

Briefly narrate the provision s of Section 135 of the Companies Act, 2013 relating to minimum contribution w.r.t Corporate Social responsibilities.

Answer

a) According to Section 135(5) of the Companies Act, 2013, the Board of every company to which Section 135 is applicable, shall ensure that the company spends, in every financial year at least 2% of average net profits of the company made during the 3 immediately preceding financial years, in pursuance of its CSR policy.

b) The company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for CSR activities.

c) If the company fails to spend such an amount, the Board shall, in its report, specify the reasons fornot spending the amount.

Question 10 (C6) (4M) (Dec 2017 Old PQ)

XYZ. Ltd. is a listed company having turnover of ₹ 1200 crores during the financial year 2015-16. The CSR committee of the Board formulated and recommended a CSR project which was approved by the Board. Company finalised the project under its CSR initiatives which require funds @ 5% of average net profit of the company for last three financial years. Will such excess expense be counted in subsequent financial years as a part of CSR expenditure? Advise.

Answer

According to Section 135(5) of the Companies Act, 2013, the Board of every company to which Section 135 is applicable, shall ensure that the company spends, in every financial year at least 2% of average net profits of the company made during the 3 immediately preceding financial years, in pursuance of its CSR policy. As per Rule 7 of the Companies (Corporate Social Responsibility) Rules, 2014, Where a company spends an amount in excess of requirement provided under sub-section (5) of section 135, such excess amount may be set off against the requirement to spend under sub-section (5) of section 135 up to immediate succeeding three financial years. There is no provision for carry forward of excess expenditure to the next year(s). The words used in the section are 'at least'. Therefore, any expenditure over 2% would be considered in the subsequent financial years as part of CSR expenditure.

Question 11 (C6) (3M) (June 2019 Old PQ)

ABC Ltd., is a company which has a net worth of INR 200 crores, it manufactures rubber parts for automobiles. The sales of the company are affected due to low demand of its products.

The previous year's financial state: (₹ in crore)

	March 31, 2019 (Current year)	March 31, 2018	March 31, 2017	March 31, 2016
Net Profit	3.00	8.50	4.00	3.00
Sales (turnover)	850	950	900	800

Does the company have an obligation to form a CSR Committee since the applicability criteria is not satisfied in the current financial year?

Answer

According to Section 135 of the Companies Act, 2013, Every company having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more or a net profit of rupees five crore or more during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee.

A company which meets the net worth, turnover of net profits criteria during the immediately preceding financial year, but which does not meet the criteria in the relevant financial year ,will still need to constitute a CSR committee and comply with provisions of sections 135 and the CSR rules.

As per the criteria to constitute CSR committee -

a) Net worth greater than or equal to ₹ 500 Crores: This criterion is not satisfied.
b) Sales greater than or equal to ₹ 1000 crores: This criterion is not satisfied.
c) Net profit greater than or equal to ₹ 5 crores: This criterion is satisfied in financial year ended March 31, 2018.

Hence, the company will be required to form a CSR committee.

Question 12 (C8) (SM) (7M) (MQP Dec 2024 Set 1)

Jyoti industries is a public limited company. Due to some IR Problem the factory and office was closed. Two accounts officers dealing with finalization of accounts left the company in quick succession and accounts could not be prepared. It is likely that the financial statements will not be

placed within the last date if AGM, i.e. 30th September .MD wants to know the consequences in following situations.

(i) Accounts is not ready and cannot be placed in AGM.

(ii) AGM to be deferred after 30th September

(iii) Accounts are ready but AGM could not be held

(iv) AGM held accounts placed but not approved

Answer

According to Section 137(1) of the Companies Act, 2013, where the financial statements are not adopted at annual general meeting or adjourned annual general meeting, such un-adopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of annual general meeting and the Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned annual general meeting for that purpose.

The financial statements adopted in the adjourned AGM shall be filed with the Registrar within 30 days of the date of such adjourned AGM with such fees or such additional fees as may be prescribed.

(i) Company has to adjourn the meeting to a date where the accounts shall be ready, but such meeting also shall be within 30th September.

(ii) AGM cannot be deferred by the Company. Approval of extension is given by Registrar of Companies. However, the approval for extension shall have to be taken within 30th September.

(iii) If AGM could not be held, it would amount to violation of law and extension to be sought.

(iv) If the AGM is held but the accounts are not adopted, the unadopted accounts shall be filed with the Registrar.

Question 13 (C8) (ICAI SM)

The Government of India is holding 51% of the paid-up equity share capital of Sun Ltd. The Audited financial statements of Sun Ltd. for the financial year 2022-23 were placed at its annual general meeting held on 31st August 2023. However, pending the comments of the Comptroller and Auditor General of India (CAG) on the said accounts the meeting was adjourned without adoption of the accounts. On receipt of CAG comments on the accounts, the adjourned annual general meeting was held on 15th October, 2023 whereat the accounts were adopted. Thereafter, Sun Ltd. filed its financial statements relevant to the financial year 2022-23 with the Registrar of Companies on 12th November, 2023. Examine, with reference to the applicable provisions of the Companies Act, 2013, whether Sun Ltd. has complied with the statutory requirement regarding filing of accounts with the Registrar?

Answer

According to Section 137(1) of the Companies Act, 2013, where the financial statements are not adopted at annual general meeting or adjourned annual general meeting, such un-adopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of annual general meeting and the Registrar shall take them in his records as provisional

till the financial statements are filed with him after their adoption in the adjourned annual general meeting for that purpose.

The financial statements adopted in the adjourned AGM shall be filed with the Registrar within 30 days of the date of such adjourned AGM with such fees or such additional fees as may be prescribed.

In the instant case, the accounts of Sun Ltd. were adopted at the adjourned AGM held on 15th October 2023 and filing of financial statements with Registrar was done on 12th November, 2023 i.e. within 30 days of the date of adjourned AGM. But Sun Ltd. has not filed its un-adopted financial statements within 30 days of the date of the annual general meeting held on 31st August 2023.

Hence, Sun Ltd. has not complied with the statutory requirement regarding filing of un-adopted accounts with the Registrar but has certainly complied with the provisions by filing of adopted accounts within the due date with the Registrar.

Question 14 (C9) (5M) (Dec 2017 Old PQ)

Interior Pvt. Ltd. is a manufacturing company having turnover of ₹ 210 crore but having maximum outstanding loan from public financial institution of ₹ 90 crore only during the preceding financial year. You are required to state whether the company is liable for internal audit as per the provisions of the Companies Act, 2013.

Answer

As per Section 138 of the Companies Act, 2013, read with rule 13 of Companies (Audit and Auditors) Rules, 2014 every private company shall be required to appoint an internal auditor or a firm of internal auditors, having-

(i) turnover of ₹ 200 crores or more during the preceding financial year or

(ii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹ 100 crores or more at any point of time during the preceding financial year.

Thus, either of the condition is required to be satisfied for the applicability of the provision. The internal auditor to be appointed shall either be a chartered accountant whether engaged in practice or not or a cost accountant, or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the companies auditor may or may not be an employee of the company.

Interior Pvt. Ltd. is having turnover of ₹ 210 crore and maximum outstanding loan from public financial institution of ₹ 90 crore during the previous financial year, here in the case, the turnover is above ₹ 200 crores i.e. either of the condition in respect of turnover or outstanding loans is satisfied. Therefore, the company is liable for internal audit as per section 138 of the Companies Act, 2013.

Additional Questions

Question 1 (C6) (6M) (June 2018 Old PQ)

Explain the concept of Corporate Social Responsibility and its meaning to different people.

Answer

Corporate Social Responsibility (CSR) is a concept that organizations, have an obligation to consider the interests of customers, employees, shareholders, communities, and ecological considerations in all aspects of their operations. This obligation is seen to extend beyond their statutory obligation to comply with legislation. CSR is closely linked with the principles of Sustainable Development, which argues that enterprises should make decisions based not only on financial factors such as profits or dividends, but also based on the immediate and long- term social and environmental consequences of their activities, especially taking into consideration the needs of future generations.

CSR can mean different things to different people:

a) for an employee it can mean fair wages, no discrimination, better working conditions etc.
b) for a shareholder it can mean making responsible and transparent decisions of the use of capital.
c) for suppliers it can mean receiving payment on time.
d) for customers it can mean delivery on time, etc.
e) for local communities and authorities it can mean taking measures to protect the environment from pollution.
f) for non-governmental organisations and pressure groups it can mean disclosing business practices and performance on issues ranging from energy conservation and global warming.
g) to human rights and animal rights, from protection of the rainforests and endangered species to child and forced labour, etc.

For a company, however, it can simply be seen as responding to the needs and concerns of people who can influence the success of the company and whom the company can Impact through its business activities, processes and products.

Question 2 (C7) (7M) (MQP June 2024)

Discuss the provisions of Companies Act, 2013 on right of member to copies of Audited Financial Statement.

Answer

According to Section 136 of the Companies Act, 2013, A copy of the financial statements, which are to be laid before a company in its general meeting, shall be sent to the following:

a) every member of the company,
b) to every trustee for the debenture holder of any debentures issued by the company, and
c) to all persons other than such member or trustee, being the person so entitled.

Consolidated financial statements, if any, auditors' report and every other document required by law shall be attached with financial statements.

These financial statements shall be sent in not less than 21 days before the date of the meeting.

May be sent less than 21 days before if shareholders with 95% voting agree.

Question 3 (C8) (SM)

Discuss the provisions relating to placing of accounts in AGM and filing with the Registrar.

Answer

According to this Section 137(1) of the Companies Act, 2013, A copy of the financial statements, including consolidated financial statement, if any, along with all the documents, duly adopted at the AGM of the company, shall be filed with the Registrar within 30 days of the date of AGM

If Financial Statements are not adopted

a) Where the financial statements are not adopted at AGM or adjourned AGM, such unadopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of AGM.
b) The Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned AGM for that purpose.

If the financial statements are adopted in the adjourned AGM, then they shall be filed with the Registrar within 30 days of the date of such adjourned AGM.

UNIT 4 – Audit & Auditors

Main Questions

Question 1 (C1) (7M) (MQP Dec 2023) (ICAI SM)

Explain how the auditor will be appointed in a government company as per the Companies Act, 2013.

Answer

As per the provisions of Section 139 of the Companies Act, 2013, In case of a Government Company,

a) The first auditor shall be appointed by the Comptroller and Auditor General of India within 60 days from the date of incorporation and in case of failure to do so,
b) the Board shall appoint auditor within next 30 days and on failure to do so by Board of Directors,
c) it shall inform the members, who shall appoint the auditor within next 60 days at an Extraordinary general meeting.
d) such auditor shall hold office till conclusion of first Annual General Meeting.

In case of subsequent auditor for existing government companies, the Comptroller & Auditor General of India shall appoint the auditor within a period of 180 days from the commencement of the financial year and the auditor so appointed shall hold his position till the conclusion of the AGM.

Question 2 (C1) (ICAI SM)

One-fourth of the subscribed capital of AMC Limited was held by the Government of Rajasthan. Mr. Neeraj, a Chartered Accountant, was appointed as an auditor of the Company at the Annual General Meeting held on 30 April,2024 by an ordinary resolution. Mr. Sanjay, a shareholder of the company, objects to the manner of appointment of Mr. Neeraj on the ground of violation of the Companies Act, 2013. Decide whether the objection of Mr. Sanjay is tenable? Also examine the consequences of the above appointment under the said Act.

Answer

As per the Companies Act, 2013, the holding of 25% shares of AMC Ltd. by the Government of Rajasthan does not make it a government company. Hence, it will be treated as a non-government company.

Under section 139 of the Companies Act, 2013, the appointment of an auditor shall be done by the members of the company except in the case of the first auditors and in the filling up of the casual vacancy not caused by the resignation of the auditor, in which case, the power to appoint the auditor vests with the Board of Directors. The appointment by the members is by way of an ordinary resolution only and no exceptions have been made in the Act whereby a special resolution is required for the appointment of the auditors.

Therefore, the contention of Mr. Sanjay is not valid. The appointment is valid under the Companies Act, 2013.

Question 3 (C1 & C2) (ICAI SM)

State the procedure for the following, explaining the relevant provisions of the Companies Act, 2013:

(i) Appointment of First Auditor, when the Board of directors did not appoint the First Auditor within one month from the date of registration of the company.

(ii) Removal of Statutory Auditor (appointed in last AGM) before the expiry of his term.

Answer

(i) Section 139(6) of the Companies Act, 2013 lays down that the first auditor of a company shall be appointed by the Board of Directors within 30 days of the registration of the company. If the Board of Directors fails to appoint such auditor, it shall inform the members of the company, who shall within 90 days at an extraordinary general meeting appoint such auditor and such auditor shall hold office till the conclusion of the first annual general meeting.

(ii) Under section 140 (1) of the Companies Act, 2013, the auditor appointed under section 139 may be removed from his office before the expiry of his term only,

a) by a special resolution of the company,

b) after obtaining the previous approval of the Central Government in that behalf in the prescribed manner.

c) Provided that before taking any action, the auditor concerned shall be given a reasonable opportunity of being heard.

d) The application to the Central Government for removal of auditor shall be made in Form ADT-2.

e) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.

f) The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

Question 4 (C2) (SM) (10M)(June 2023 PQ)

Mr. Ravinder Nath is Managing Director of ABC Ltd. The Audit is going and there are many issues which the Auditor has pointed out and the same are being clarified by the Company Management, but the Auditor is not satisfied with the explanations. MD wants to consult you as the CFO of the Company on how the current Auditor can be removed. Auditor is also not feeling comfortable and has threatened to resign.

Please advise MD on the legal provisions under the Companies Act, 2013 in respect of the following:

(i) Can the Auditor be removed? Please state the procedure.

(ii) As the Auditor is not satisfied and what if he resigns?

(iii) If the Auditor decides to continue with the assignment and he issues a qualified report on the observations found by him during the course of the Audit.

Answer

(i) Under section 140 (1) of the Companies Act, 2013, the auditor appointed under section 139 may be removed from his office before the expiry of his term only,

a) by a special resolution of the company,
b) after obtaining the previous approval of the Central Government in that behalf in the prescribed manner.
c) Provided that before taking any action, the auditor concerned shall be given a reasonable opportunity of being heard.
d) The application to the Central Government for removal of auditor shall be made in Form ADT-2.
e) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.
f) The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

(ii) Under section 140 (2) of the Companies Act, 2013, If the Auditor has resigned from the company, He shall file within a period of 30 days from the date of resignation, a statement in the Form ADT - 3 with the Company and the concerned Registrar. The Auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation in his statement.

(iii) If the Auditor gives a qualified Report, the same has to be replied by the Board of Directors as annexure to Board's Reports and shall be circulated and placed in AGM.

Question 5 (C3) (ICAI SM)

EF Limited appointed an individual firm, Naresh & Company, Chartered Accountants, as Auditors of the company at the Annual General Meeting held on 30 September 2023. Mrs. Kamala, wife of Mr. Naresh, invested in the equity shares face value of ₹ 1 lakh of EF Limited on 15 October 2023. But Naresh & Company continues to function as statutory auditors of the company. Advice.

Answer

According to Section 141 of the Companies Act, 2013, a person who, or his relative or partner holds any security of the company or its subsidiary or of its holding or associate company a subsidiary of such holding company, which carries voting rights, such person cannot be appointed as auditor of the company. Provided that the relative of such person may hold security or interest in the company of face value not exceeding ₹ 1 lakh.

In the case Mr. Naresh, Chartered Accountant, did not hold any such security. But Mrs. Kamala, his wife held equity shares of EF Limited of face value ₹ 1 lakh, which is within the specified limit. Hence, Naresh & Company can continue to function as auditors of the company even after 15 October 2023 i.e. after the investment made by his wife in the equity shares of EF Limited.

Question 6 (C3) (ICAI SM)

Examine the following situations in the light of the Companies Act, 2013: "Mr. Abhi", a practicing Chartered Accountant, is holding securities of Abhiman Ltd. having face value of ₹ 1000/-. Whether Mr. Abhi is qualified for appointment as an Auditor of Abhiman Ltd.?

Answer

According to Section 141 of the Companies Act, 2013, a person who, or his relative or partner holds any security of the company or its subsidiary or of its holding or associate company a subsidiary of

such holding company, which carries voting rights, such person cannot be appointed as auditor of the company. Provided that the relative of such person may hold security or interest in the company of face value not exceeding ₹ 1 lakh.

In the present case, Mr. Abhi is holding security of ₹ 1000 in the Abhiman Ltd, therefore, he is not eligible for appointment as an auditor of Abhiman Ltd.

Question 7 (C3) (ICAI SM)

Examine whether the following persons are eligible for being appointed as auditor under the provisions of the Companies Act, 2013:

(i) "Mr. Prakash" is a practicing Chartered Accountant and "Mr. Aakash", who is a relative of "Mr. Prakash" is holding securities of "ABC Ltd." having face value of ₹ 70,000/- (market value ₹ 1, 10,000/-). Directors of ABC Ltd. want to appoint Mr. Prakash as an auditor of the company.

(ii) Mr. Ramesh is a practicing Chartered Accountant indebted to MNP Ltd. for rupees 6 lakh. Directors of MNP Ltd. want to appoint Mr. Ramesh as an auditor of the company.

(iii) Mrs. KVJ spouse of Mr. Kumar, a Chartered Accountant, is the store keeper of PRC Ltd. Directors of PRC Ltd. want to appoint Mr. Kumar as an auditor of the company

Answer

(i) According to Section 141 of the Companies Act, 2013, a person who, or his relative or partner holds any security of the company or its subsidiary or of its holding or associate company a subsidiary of such holding company, which carries voting rights, such person cannot be appointed as auditor of the company. Provided that the relative of such person may hold security or interest in the company of face value not exceeding ₹ 1 lakh.

In the present case, Mr. Aakash (relative of Mr. Prakash, an auditor), is having securities of ABC Ltd. having face value of ₹ 70,000 (market value ₹ 1,10,000), which is within the specified limit. Therefore, Mr. Prakash will not be disqualified to be appointed as an auditor of ABC Ltd.

(ii) According to Section 141 of the Companies Act, 2013, a person is disqualified to be appointed as an auditor if he or his relative or partner is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹ 5 Lakh.

In the instant case, Mr. Ramesh will be disqualified to be appointed as an auditor of MNP Ltd as he indebted to MNP Ltd. for ₹ 6 Lakh.

(iii) According to Section 141 of the Companies Act, 2013, a person is disqualified to be appointed as an auditor if a person whose relative is a director or is in the employment of the company as a director or a key managerial personnel. In the instant case, since Mrs. KVJ Spouse of Mr. Kumar (Chartered Accountant) is the storekeeper (not a director or KMP) of PRC Ltd. Hence Mr. Kumar will not be disqualified to be appointed as an auditor in the said company.

Question 8 (C3) (6M) (June 2019 Old PQ)

M/s RST and Co., a firm of Chartered Accountants, comprising of three partners R, S and T are Statutory Auditors of 50 companies as per details given below:

(i) Small Companies — 10

(ii) Private Companies having paid-up share capital of less than 100 Crores — 20

(iii) Private Companies having paid-up share capital of more than 100 Crores — 15
(iv) Public Companies — 5
Mr. R signs the Balance Sheet of 10 Small Companies and 10 Private Companies having paid-up share capital of less than 100 Crores. Mr. S signs the Balance Sheet of 10 Private Companies having paid-up share capital of less than 100 Crores and 5 Private Companies having paid-up share capital of more than 100 Crores. Mr. T signs the Balance Sheet of 10 Private Companies having paid-up share capital of more than 100 Crores and 5 Public Companies.
What is the maximum number of audits that the firm as a whole can accept and what is the maximum number of audits each individual partner can accept?

Answer

As per Section 141 of the Companies Act, 2013, a person shall not be eligible for appointment as an auditor if he is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such person or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 Companies other than one person companies, dormant Companies, small Companies and private Companies having paid-up share capital less than ₹ 100 crores.

a) As per section 141, this limit of 20 Company audits is per person.
b) In the case of an audit firm having 3 partners, the overall ceiling will be 3 x 20 = 60 Company audits.
c) Sometimes, a chartered accountant is a partner in a number of auditing firms. In such a case, all the firms in which he is partner or proprietor will be together entitled to 20 Company audits on his account.
d) Therefore, maximum number of audits that the firm M/S. RST & CO. as a whole can accept is 60 and maximum number of audits each individual partner can accept is 20 i.e. other than one person Companies, dormant Companies, small Companies and private Companies having paid-up share capital less than ₹ 100 crores.

In the given case, in aggregate all three partners are having 50 audits.
As per section 141 applying the above provisions, companies in which partners are already holding appointments as auditors, are,
(i) CA R can accept 20 more audits.
(ii) CA S can accept 20 - 5 = 15 more audits and
(iii) CA T can accept 20 - 15 = 5 more audits.
As per the facts of the case, M/S. RST & CO. is already having 20 Company audits and they can also accept 40 more Company audits. In addition, they can also conduct the audit of one person Companies, small Companies, dormant Companies and private Companies having paid up share capital less than 100 crores.
As per section 141(3)(g) of the Companies act, 2013, M/S. RST &CO. can accept appointment as an auditor of 40 more Companies as under:

Total number of Audits available to the Firm	= 20 x 3	= 60
Number of Audits already taken by all the partners in their individual capacity	= 0 + 5 + 15	= 20

Remaining number of Audits available to the firm		= 40

Question 9 (C5) (7M) (MQP June 2025)

Explain the provisions related to Audit of government companies.

Answer

a) According to Section 143 of the Companies Act, 2013, In the case of a Government company or any other company owned or controlled by the Central Government, or by any State Governments, or partly by one or more of the other.
b) the Comptroller and Auditor General of India shall direct auditor the manner in which the accounts of the Government company are required to be audited and
c) thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor General of India.
d) The audit report among other things, include the following:
   (i) the directions, if any, issued by the Comptroller and Auditor General of India
   (ii) the action taken thereon and
   (iii) its impact on the accounts and financial statement of the company.
e) The Comptroller and Auditor General of India shall within 60 days from the date of receipt of the audit report have a right to:
   (i) conduct a supplementary audit of the financial statement of the company
   (ii) comment upon or supplement such audit report.

Any comments given by the Comptroller and Auditor General of India upon, or supplement to, the audit report shall be sent by the company to every person entitled to copies of audited financial statements and also be placed before the AGM of the company.

The Comptroller and Auditor General of India may by an order conduct test audit of the accounts of government company.

Question 10 (C5) (7M)(Dec 2018 Old PQ)

Mr. Faithful is an auditor of Daga Ltd. While auditing the accounts of the Daga Ltd. for 2016- 2017, he finds manipulation of fund around Rs. 2 crore committed by the officers of the company against the Daga Ltd. Examine in the light of the Companies Act, 2013 the way frauds are required to be reported by Mr. Faithful and the duty of the Daga Ltd. in relation to reporting of such frauds.

Answer

As per section 143(12) of the Companies Act, 2013, if an auditor of a company, in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of ₹ 1 crore or above, is being or has been committed against the company by its officer or employees, the auditor shall report the matter to the Central Government.

The auditor shall report the matter to the Central Government as under:-

(i) The auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than two days of his knowledge of the fraud, seeking their reply or observations within 45 days;

(ii) On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments to the Central Government within 15 days from the date of receipt of such reply or observations;

(iii) In case the auditor fails to get any reply or observations from the board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations ;

(iv) The report shall be in the filed electronically in Form ADT-4. Details of each of the fraud reported to the Audit Committee or the Board during the year shall be disclosed in the Board's Report by the company :-

a) Nature of Fraud with description;
b) Approximate Amount involved ;
c) Parties involved, if remedial action not taken; and
d) Remedial actions taken.

Question 11 (C5) (7M) (Dec 2025 PQ)

Briefly outline the procedure for reporting of fraud by auditors under Section 143(12) of the Companies Act, 2013, read with the Companies (Audit and Auditors) Rules, 2014.

Answer

As per the Provisions of Section 143(12) of the Companies Act, 2013,

Fraud involving amount of ₹ 1 crore or more

If an auditor of a company, in the course of the performance of his duties as auditor,

a) Has reason to believe that an offence involving fraud

b) Which involves or is expected to involve individually an amount of ₹ 1 crore or more

is being or has been committed against the company by officers or employees of the company. He shall immediately report the matter to the Central Government within such time and in such manner as may be prescribed.

the auditor shall report the matter to the Central Government in following manner

a) The auditor shall report the matter to the Board or the Audit Committee immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;

b) On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments to the Central Government within 15 days from the date of receipt of such reply or observations;

c) In case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply.

d) The report shall be filed electronically in Form ADT-4.

Fraud involving amount less than ₹ 1 crore

In case of a fraud involving lesser than an amount of rupees one crore, the auditor shall report the matter to the audit committee or to the Board immediately but not later than 2 days of his knowledge of the fraud and he shall report the matter specifying the following;

a) Nature of Fraud with description;
b) Approximate amount involved; and
c) Parties involved.

Disclosure in Board's Report

The audit committee or the Board shall disclose the following details about such frauds (reported to them, but not to the Central Government), in the Board's report;

a) Nature of fraud with description
b) Approximate amount involved
c) Parties involved, if remedial action not taken and
d) Remedial actions taken.

Section 143 (12) is also applicable to Cost accountants in practice conducting Cost audits under Section 148.

Penalty for non-compliance of section 143(12)

If any auditor, cost accountant, or company secretary in practice does not comply with the provisions of sub-section (12), he shall

a) Be liable to a penalty of ₹ 5 lakhs in case of a listed company; and
b) Be liable to a penalty of ₹ 1 lakh in case of any other company.

Question 12 (C6) (ICAI SM)

The Board of Directors of A Limited requested its Statutory Auditor to accept the assignment of designing and implementation of suitable financial information system to strengthen the internal control mechanism of the company. How will you approach to this proposal, as a Statutory Auditor of A Ltd., taking into account the consequences, if any, of accepting this proposal?

Answer

According to section 144 of the Companies Act, 2013, an auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be. But such services shall not include designing and implementation of any financial information system.

In the said instance, the Board of directors of A Ltd. requested its Statutory Auditor to accept the assignment of designing and implementation of suitable financial information system to strengthen the internal control mechanism of the company. As per the above provision said service is strictly prohibited.

In case the Statutory Auditor accepts the assignment, he will attract the penal provisions as specified in Section 147 of the Companies Act, 2013. In the light of the above provisions, we shall advise the Statutory Auditor not to take up the above stated assignment.

Question 13 (C6) (SM) (6M) (June 2023 Old PQ) (4M) (June 2018 Old PQ)

X Ltd. appointed CA Innocent as a statutory auditor for the company for the current financial year. Further the company offered him the services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors. Comment.

(or)

Are there any restrictions to the appointment of a statutory auditor of a private limited company becoming the consultant of the same company? Explain.

(or)

What are the services which an auditor is not supposed to take up?

Answer

According to section 144 of the Companies Act, 2013, An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be. But such services shall not include any of the following services, namely:

a) accounting and book keeping services.
b) internal audit
c) design and implementation of any financial information system
d) actuarial services
e) investment advisory services
f) investment banking services.
g) rendering of outsourced financial services.
h) management services and
i) any other kind of services as may be prescribed.

Further section 141(3)(i) of the Companies Act, 2013 also disqualify a person for appointment as an auditor of a company who is engaged as on the date of appointment in consulting and specialized services as provided in section 144.

In the given case, CA Innocent was appointed as an auditor of X Ltd. He was offered additional services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors. The auditor is advised not to accept the services as these services are specifically notified in the services not to be rendered by him as an auditor as per section 144 of the Act.

Question 14 (C8) (5M)(Dec 2017 Old PQ)

The Board of Directors of a company have filed a complaint with the Institute of Chartered Accountants of India against their Statutory Auditors for their failing to attend the Annual General Meeting of the Shareholders in which audited accounts were considered. Comment.

Answer

As per Section 146 of the Companies Act, 2013, it is right of the auditor to receive notices, and other communications relating to any general meeting and to be heard at such meeting, relating to

the matter of his concern, however, it is duty of the auditor to attend the same or through his authorised representative unless otherwise exempted.
In the instant case, the Board of Directors of a company have filed a complaint with the Institute of Chartered Accountants of India against their statutory auditors for their failing to attend the Annual General Meeting of the Shareholders in which audited accounts were considered.
In view of above discussed provisions of section 146, the statutory auditor of the company should attend the general meetings either through himself or through his authorised representative.

Additional Questions

Question 1 (4M) (June 2017 Old PQ)

The auditors of a company refuse to make their report on the annual accounts of a company before it is signed on behalf of the Board of Directors. Advise the company.

Answer

The auditor is right. Theoretically, accounts are presented to auditors only after they are approved by the Board and signed by authorized persons. The auditor is only expected to submit his report on the accounts presented to him for audit after conducting an examination of the necessary documents, analysing relevant information and test checking accounting records in order to be able to form an opinion of the financial statements presented to him. In practice, the checking of accounts is already completed before accounts are approved by the Board. Auditor informally approves the draft account with notes etc., before the accounts are approved by the Board. However, auditor signs the accounts only after these are approved by Board and signed by persons authorized by Board of the company.

Question 2 (C3) (SM) (7M) (MQP June 2024) (MQP Dec 2025 Set 1)

Discuss the disqualifications of an Auditor.

Answer

According to Section 141 of the Companies Act, 2013, The following persons shall not be qualified for appointment as auditor of a company:

a) A body corporate other than a limited liability partnership registered under the Limited Liability Partnership Act, 2008.
b) an officer or employee of the company.
c) a person who is a partner, or who is in the employment, of an officer or employee of the company.
d) A person who, or his relative or partner
   i) is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company: (Provided that the relative may hold security or interest in the company of face value not exceeding ₹1 Lakh.)
   ii) is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹5 Lakhs, or

iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹1 Lakh.

e) a person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary, or its holding or associate company or subsidiary of such holding company or associate company. Exceptions:
   i) commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm.
   ii) commercial transactions which are in the ordinary course of business of the company at arm's length price.

f) a person who's relative is a director or is in the employment of the company as a director or key managerial personnel.

g) a person who is in full time employment or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 companies other than OPC, dormant companies and private companies having paid-up share capital less than ₹ 100 crore rupees

h) a person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.

i) any person whose subsidiary or associate company or any other form of entity, is engaged as on the date of appointment in consulting and specialized services as provided in Section 144

Question 3 (C11) (7M) (MQP Dec 2023)

Describe the classes of companies which are outside the purview of the Company Auditor Report Order (CARO) under the Companies Act 2013.

Answer

MCA has notified now Companies (Auditor's Report) Order, 2020 on 25th February, 2020 which replaced CARO, 2016. It is a new format of reporting of statutory audit having additional reporting requirements decided in consultation with National Financial Reporting Authority (NFRA) CARO, 2020 is applicable for all statutory audits commencing on or after 1.4.2020 corresponding of Financial Year 2019-20.

The following classes of companies are outside the purview of the CARO 2020.

a) Banking company
b) Insurance company
c) Company licensed to operate under Section 8
d) A one-person company
e) A small company
f) The auditor of following type of Private Companies are not required to comment on the matter prescribed under CARO 2020:
   (i) is not holding or subsidiary company of a public company, and
   (ii) having a paid up capital and reserve and surplus not more than ₹ 1 crore as on the balance sheet date and

(iii) which does not have total borrowing exceeding ₹ 1 crore from any bank and financial institution at any point of time during the financial year, and

(iv) which does not have total revenue exceeding ₹ 10 crores during the financial year.